An Assignment on

Karl Marx: An Introduction to the Core Ideas

Course Title: Economic Thoughts in Perspective

Course Code: ECON-408

Submitted to

Kawsar Hossain Sojib
Lecturer
Department of Economics
Jahangirnagar University

Submitted by

THE FREAKONOMISTS

Promita Biswas (440)
Adiba Noshin Moume (446)
Nawshin Alam (472)
Md Moynul Huda (483)
Md Arif Hossain (494)
Md Shahidul Islam (501)
Dipu Mondal (509)
S. M. Abdullah (510)
Farhan Imtiaz Nafee (2150)
Md Imran Hossen (2337)

Table of Contents

Facts Sheet 1
Introduction 2
Marx's Critique of Classical Economics 2
Commodities, Value, Use Value, and Exchange Value 4
Labor 5
Social Nature of Commodity Production 5
Simple Commodity Circulation and Capitalist Circulation 6
Surplus value, Exchange and the Sphere of Circulation 7
Circulation of Capital and the Importance of Production 8
Labor, Labor power & the detonation of Capitalism 9
The Value of Labor Power 10
Necessary Labor, Surplus Labor, and the Creation and Realization of Surplus Value 11
The Creation and Realization of Surplus Value 12
Constant Capital, Variable Capital, and the Rate of Surplus Value 12
Length of the Working Day 13
The Labor Theory of Value and the Transformation Problem 14
Private Property, Capital, and Capitalism 18
Primitive Accumulation 19
Capitalist Accumulation 20
Economic Concentration 21
Tendency for the Rate of Profit to Fall 21
Sectoral Imbalances and Economic Crises 22
Alienation and the Increasing Misery of the Proletariat 24
Marx on Socialism and Communism 25

Facts Sheet

Karl Heinrich Marx

Lived: 1818-1883

Birthplace: Trier, Kingdom of Prussia, German Confederation

Known as: Philosopher, economist, sociologist, historian, journalist, and revolutionary socialist.

Influences: Immanuel Kant, Georg Wilhelm Friedrich Hegel, Ludwig Feuerbach, Adam Smith and David Ricardo, Jean-Jacques Rousseau, Friedrich Engels, Charles Darwin etc.

Notable works: Capital, The Communist Manifesto, The German Ideology, On the Jewish Question, Economic and Philosophic Manuscripts of 1844, Grundrisse.

Key Ideas:

- Capitalism: Marx believed capitalism inherently exploited workers. Factory owners (bourgeoisie) profited from the labor of workers (proletariat) who created more value than they were paid for.
- Labor Theory of Value: The value of a good or service is determined by the amount of socially necessary labor required to produce it.
- Alienation: Workers become alienated from their work, the products they create, and their fellow workers under capitalism.
- Class Struggle: History is driven by conflict between social classes. The proletariat would eventually overthrow the bourgeoisie and establish a communist society.
- Communism: A stateless, classless society where workers collectively own the means of production and goods are distributed based on need, not wealth.

Impact:

- Inspired socialist and communist movements around the world.
- His ideas continue to influence political and economic thought today.
- Critiques of capitalism, such as income inequality and worker exploitation, remain relevant.

Introduction

Karl Marx was a 19th century thinker who left an undeniable mark on history. A German-born philosopher, economist, and revolutionary socialist, Marx's ideas about society, economics, and politics continue to be debated today. His most famous works, The Communist Manifesto (co-written with Friedrich Engels) and Capital (aka Das Kapital), laid the foundation for Marxism, a school of thought that critiques capitalism and proposes alternative economic systems.

Marx's analysis and critique of capitalism is elaborated in his three volumes of Capital, of which the first one was published (1867) in his lifetime. Rough drafts and other writings were later rewritten and compiled by his lifelong friend Friedrich Engels, as volumes two (1885) and three (1894).

Apart from Capital and the Communist Manifesto, Marx wrote many other books, pamphlets and articles that contain analyses of capitalism, notably a series of seven notebooks, which laid the foundation of Capital. These seven notebooks were later published as *Grundrisse der Kritik der Politischen Okonomie* (Foundations of the Critique of Political Economy).

Marx's Critique of Classical Economics

Marx was deeply influenced by theories of value and profits of Smith and Ricardo—and in some respects, his theory can be seen as an extension, refinement and elaboration of their ideas. Concerning other aspects of their theories, however, Marx considered himself an antagonistic critic. He also quoted frequently and approvingly from the writings of Thompson and Hodgskin, but here, again, Marx was highly critical of many of their ideas. He took Mill seriously as an intellectual opponent but was nearly entirely critical and contemptuous of Malthus, Bentham, Senior, Say, and Bastiat.

Marx argues that the aforementioned thinkers lacked a historical perspective. From the historical perspective, Marx shows that production is a social activity that can take many forms or modes, depending on the prevailing forms of social organization and their corresponding techniques of production. Focusing on one mode of production would isolate the features that were both essential to and particular to that mode of production.

Most of the prior economic thinkers failed to differentiate between those characteristics that were common to all the modes of production and those that are specific to a particular mode of production (capitalism). This failure led to some confusions and distortions, of which two are particularly important:

i. The belief that capital was a universal element in all production processes.
ii. All economic activity could be reduced to a series of exchanges.

Nearly all the economic thinkers fell for the first confusion, except Hodgskin, while all the economists after Ricardo fell for the second confusion.

The key idea Marx focused on was that under capitalism, these tools and machinery (which represent past work or "stored up labour") become a way for the wealthy to get even wealthier. This is different from earlier times, and Marx wanted to understand how this specific feature of capitalism came to be.

Traditionally, economists viewed property as an "untouchable" concept (with John Stuart Mill being a notable exception). They equated property ownership in general with the specific form of capitalist private property. Marx challenged this view. He argued against Mill's idea of a complete separation between production and distribution. According to Marx, there have been many different forms of property throughout history, with each economic system shaping its own property structures. These property forms, in turn, determined how goods and resources were distributed. In essence, Marx argued that production and distribution are inherently linked, not independent aspects as Mill believed.

Economists before Marx, whom he called "bourgeois economists," generally treated property rights under capitalism as if they were always true and unchangeable. They also viewed the concept of "capital" as something common to any form of production, not specific to capitalism. This approach, according to Marx, ignored the key features that defined capitalism as a distinct economic system.

If these crucial aspects were excluded from analysis, what remained for these economists to study? As economist Frédéric Bastiat stated, they focused primarily on exchange- the buying and selling of goods. This narrowed their perspective on the entire economy to just the circulation of money and commodities. In other words, they only examined the surface-level transactions, neglecting the deeper structures that made capitalism unique.

Marx goes deeper into the social relationship and the dynamics between the classes within the society. For example, the existing system extinguishes the distinction of a worker buying a commodity and a king buying the same. That is, it ignores the social differences between the two, making both of them "equal."

The very act of exchange implies that people don't have everything they want or need. They need to trade with others because "only the differences between their needs and between their production give rise to exchange." This highlights the interdependence of individuals within an exchange economy. While people are motivated by self-interest, exchange allows them to fulfill their needs and wants, ultimately contributing to a functioning economic system.

Commodities, Value, Use Value, and Exchange Value

In Marx's literature, commodity is an external object, a thing which through its qualities satisfies human needs of whatever kind and is then exchanged for something else. When Marx speaks of commodities, he is particularly concerned with the "physical properties of the commodity" which he associates closely with the use-value of an object.

Marx defines wealth as "an immense accumulation of commodities, its unit being a single commodity." A commodity essentially has two characteristics:

i. A thing that by its properties satisfies human wants. That is, the particular physical qualities of a commodity from which people derive utility make the commodity a "use value". These physical qualities do not have any definite or systematic connection to the "amount of labor required to appropriate its useful qualities."
ii. Commodities are "the material depositories of exchange value". The exchange value of a commodity is a ratio of how much of that commodity one could get in exchange for a given amount of some other commodity or commodities.

Exchange value, often expressed in monetary terms, reflects how much money one can obtain for a specific good. For example, a pair of shoes priced at $2 signifies that it can be exchanged for two units of money (or any other good worth $2). Money, therefore, acts as a common denominator, allowing the expression of exchange values for various commodities in a standardized way. This simplifies transactions and facilitates comparisons across different goods. Thus, money works as a unit of account.

Beyond a unit of account, money functions as a universally accepted medium of exchange. Unlike a barter system where goods are directly exchanged for other goods, money eliminates the need for "double coincidence of wants." In other words, a seller doesn't have to find someone who exactly wants what they're offering and also has something the seller desires. Money acts as an intermediary, allowing exchange to occur regardless of these coincidences. This widespread use of money as a medium of exchange is a defining characteristic that distinguishes a money-based economy from a barter system.

Lastly, money plays a role in wealth accumulation and can be held onto, essentially accumulating pure exchange value, instead of holding onto specific goods with use value.

Labor

According to the Marx, the only element was common to ball commodities was the labor time required for their production. Marx asserted that labor time determined exchange values and he defined this labor time as consisting of simple homogenous labor. Marx distinguishes between two ways of viewing labor.

- Useful labor: The labor, whose value-in-use of its product or which manifests itself by making its product a use value.
- Abstract labor: The labor that created exchange value was abstract labor where the differences in the qualities of various kinds of useful labor were abstracted away

Social Nature of Commodity Production

Products of human labor were commodities only when they were produced only for exchange for money in the market and not for the immediate use or enjoyment of the producers or anyone directly associated with the producers. According to Karl Marx, "The mode of production in which the product takes the form of a commodity, or is produced directly for exchange." Commodity production is not the characteristic form of social production until workers do not produce the products for their own subsistence, but must purchase them from capitalists. This is the source of the capitalists ' power over workers in a commodity producing society. For being a commodity producing society, three historical prerequisites were necessary:

- There had to evolve a degree of productive specialization such that each individual producer continuously produced the same product.
- Such specialization necessarily required the complete "separation of use-value from exchange-value.
- A commodity-producing society required an extensive, well-developed market, which required the pervasive use of money as a universal value equivalent mediating every exchange.

Marx distinguishes between the use-value and the exchange value of the commodity. Use-value is inextricably tied to "the physical properties of the commodity"; that is, the material uses to which the object can actually be put, the human needs it fulfills. In the exchange of goods on the capitalist market, exchange-value dominates: two commodities can be exchanged on the open market because they are always being compared to a third term that functions as their "universal equivalent," a function that is eventually taken over by money. In capital, money takes the form of that equivalence; however, money in fact hides the real equivalent behind the exchange: labor. The producer was socially and economically connected to other producers. Many of them could not continue their ordinary daily patterns of consumption without the given producer creating a commodity, which the other producers consumed. Thus, there was a definite, indispensable social relationship among producers.

Each producer produced only for sale in the market. With the proceeds of the sale, the producer bought the commodities that he or she needed. The producer's wellbeing appeared to depend solely on the quantities of other commodities for which the producer could exchange his or her commodity. Marx wrote "To them their own social action takes the form of the action of objects, which rule the producers, instead of being ruled by them." There was a social relationship which is simply a relationship between the individual and an impersonal, immutable social institution the market. The market appeared to involve simply a set of relationships among material things commodities.

In a commodity-producing society, the use values produced by useful labor could not be consumed and enjoyed without the successful functioning of market exchange. But it was still only useful labor that produced the use values that sustained human life and generated all of the utility derived from consumption. Bourgeois economists believed that such utility was generated in exchange itself. Exchange seemed to them to be universally benevolent and to harmonize every individual's interest with those of all other individuals. Bourgeois economists had been unable to visualize anything but, in a commodity-producing society, no one could enjoy the utility created by useful labor unless the market functioned. But this fact in itself gave no clue as to the nature of social relations among the various classes in a capitalist society or to whether these relations were harmonious or conflicting.

Simple Commodity Circulation and Capitalist Circulation

In simple commodity production in a non-capitalist system, commodities were produced for sale in order to acquire other commodities to use. In such a system, Marx wrote, Commodity-Money-Commodity

C-M-C

The simplest form of circulation of commodities is C-M-C the transformation of commodities into money, and the change of the money back again into commodities; or selling in order to buy. But alongside this form we find another specifically different form: M-C-M, the transformation of money into commodities, and the change of commodities back again into money; or buying in order to sell. Money that circulates in the latter manner is thereby transformed into, becomes capital, and is already potentially capital. Therefore, this circulation process could better be described as M-C-M', where M' is greater than M. Unlike the C-M-C circulation, the M-C-M' circulation ended with a greater value than it had at the beginning.

Surplus value, Exchange and the Sphere of Circulation

In Marxian economics, surplus value is the difference between the amount raised through a sale of a product and the amount it cost to the owner of that product to manufacture it, or the amount raised through sale of the product minus the cost of the materials. On the other hand, Marx regards exchange-value as the proportion in which one commodity is exchanged for other commodities.

For Marx, exchange-value is not identical to the money price of a commodity. In simple commodity production in non-capitalist system, commodities were produced for sale in order to acquire other commodities to use. Thus, the exchange of commodities can be written by the following form:

Commodity-Money-Commodity or, C-M-C

Marx takes the circulation of commodities to be the exchange of commodities for money and money for other commodities. He depicts this as C-M-C', where C-C' represents both a change in the form of the commodity and, as is implied by the commodity as capital, an increase in value. This formula simply says, the transformation of commodities into money, and the change of the money back again into commodities. But in capitalism we find another form that is different from above. That specifically different form is M-C-M, the transformation of money into commodities, and the change of commodities back again into money. But the purpose of the circulation was "buying in order to sell dearer". Thus, it could be better described as M-C-M'.

Here M' is greater than M. The M-C-M' cycle is the transformation of money (M) into commodities (C), and the change of commodities back again into money (M') of altered value.

Thus, the producers' motive was greater quantities of surplus value that is the main purpose of capitalist system. Now the possessor of money becomes the capitalist and they are always concerned about their money. Their aim is the expansion of value, which results more wealth.

Therefore, the capitalist never looks upon the use value of the product. Profit-making is the only aim of capitalist. In Das Capital, Marx proposes that the motivating force of capitalism is in the exploitation of labor, whose unpaid work is the ultimate source of surplus value. So, the general formula for capitalism was M-C-M' that gave the rise to surplus value, and as we discussed before that M' is greater than M, the excess of M' over M could be found within the sphere of circulation.

Exchange of a commodity could take place at its equal value, above or below its value. If exchange took place at the value of the commodity, then equivalent would be exchanged. And no surplus value would arise. Again, if the exchange value is over value, then the seller would gain that exchange value. On the other hand, the buyer would lose an equal amount of exchange value. So, it is obvious that, there would be no net gain between the two parties.

Similarly, if the if the exchange value is below the value of the commodity, then the buyer's gain would be the same as seller's loss. Again, there would be no net gain at surplus value. Thus, Marx concluded that the essential feature of capitalism that gave rise to surplus value, or profit, could not be found in the sphere of circulation. As a result, Marx turned his attention to the sphere of production.

Both buyer and seller contracted as free agents and were concerned about them. Each only looked only to himself. He, who before was the money owner, now strides as the capitalist. One was pretending as superior, and the other was timid and holding back.

Circulation of Capital and the Importance of Production

In the M-C-M' formula, the process of profit making was that of merchant capital. According to Marx, neither merchant capital nor interest-bearing money capital were not the reason of creation of surplus value. It was for this reason that both these forms of capital could appear in the feudal mode of production and share in its surplus. Industrial capital was the form of capital that was the most representative of the capitalist mode of production, by which surplus value was both created and expropriated in capitalism.

The capitalist mode of production is characterized by private ownership of the means of production, extraction of surplus value by the owning class for the purpose of capital accumulation, wage-based labor and—at least as far as commodities are concerned—being market-based.

According to Marx, industrial Capital could be described in three stages:

1. The capitalist appeared as a buyer and his money was transformed into commodities.
2. He played the role of the capitalist, his capital passed through the process of production. As a result, the value of the final commodity was more than that of the elements entering into its production.
3. The capitalist returned to the market as a seller and his commodities were turned into money.

The circuit of money-capital formula is: M-C....P....C'-M'

The P in Marx's formula indicated the process of production. Here M' exceeded M because C' exceeded C. And the surplus in both cases were equal. Thus, the origin of surplus value took place because, the capitalists bought one set of commodities and sold entirely different set. The first set of commodities(C) was the ingredients for production. And the second set of commodities (C') were the output of the production process. So, we can say that, in the production process, capitalists consumed the use value of the inputs that they bought as commodities.

Thus, production was carried out for exchange and circulation in the market, aiming to obtain a net profit income from it. The owners of the means of production (capitalists) constituted the dominant class (bourgeoisie) who derived its income from the exploitation of the surplus value.

Labor, Labor power & the detonation of Capitalism

Labor power refers to the ability or potential to work. It's essentially the capacity of a person to perform labor. When someone sells their labor power, they are essentially selling this potential to work. The use value, or the benefit derived from purchasing this commodity, is the actual performance of the work itself.

Once the work is done, the value it creates becomes embodied in the final product or service. This is how labor contributes to the overall value of a good or service. The passage suggests that the key to understanding profit (surplus value) lies in the difference between two values. The first is the value of the labor power itself (the potential to work) when it's sold as a commodity. The second is the value of the finished product, which embodies the actualized labor (the work performed using that potential). In simpler terms, the difference between what someone pays for the ability to work and the value created by that work is the source of surplus value.

Unlike other goods, the act of "consuming" labor power (meaning, the worker performing the work) actually creates new value. This new value is not only enough to cover the initial cost of the labor power but also generates additional surplus value.

Marx highlights two key conditions for labor power to become a commodity in a capitalist system:

1. Worker Freedom: Workers must be free individuals who can sell their labor power (their ability to work) for a limited time. Selling themselves entirely would be slavery.
2. Lack of Resources: Workers must lack the means of production (tools, materials) and basic necessities (food, shelter) to survive. This forces them to sell their labor power as a commodity to buy what they need.

Essentially, for labor power to be a commodity in capitalism, workers must be free but also have no other option but to sell their ability to work to survive. This creates a market where capitalists (owners of money and resources) can buy labor power and exploit the difference between the value of the labor and the value of the goods the worker produces.

The core feature of capitalism, according to Marx, lies in the control of resources. Unlike a simple system where everyone can produce goods, capitalism concentrates ownership of tools and materials (means of production) in the hands of a small, wealthy class (capitalists). This leaves the majority of workers (producers) without the means to be self-sufficient. Forced to survive, they have only two options: starve or sell their ability to work (labor power) as a commodity. Marx argues this system isn't natural or inevitable, but rather a specific historical development with a ruling class profiting by extracting surplus value from workers.

The Value of Labor Power

The value of a worker's ability to work (labor power) is based on the cost of supporting themselves and their family. This isn't just basic survival, but includes the "habits and comfort" the working class is accustomed to, reflecting historical changes. Jobs requiring specialized training or education are seen as more valuable. The cost of acquiring that skill is factored into the overall value of that worker's labor power.

By calculating the amount of labor needed for different training requirements, Marx argues all labor can be compared to "simple labor" (unskilled work). This allows him to add up the labor hours from workers of varying skills to determine the total value of a good produced.

In a given location and time, the average cost of basic necessities for a worker's family can be estimated. This translates to the amount of labor required to produce those necessities. Dividing this by the number of days in a year gives the daily value of labor power.

Imagine if workers collectively took only four hours a day to produce the necessities for their families. Under this scenario, there would be no surplus value created. Workers would simply produce enough to meet their needs. However, in reality, workers typically work longer than this, creating a surplus that benefits the capitalist class.

Necessary Labor, Surplus Labor, and the Creation and Realization of Surplus Value

- Necessary Labor: It is nothing but the labor expended by workers in material production to create necessary products. The qualitative features of necessary labor are determined by the level of development of social production in a given socio economic system. In the primitive communal system, where labor productivity was extremely low, virtually all labor was necessary and secured only the most minimal, meager means of existence.
- Surplus labor: It means labor performed in excess of the labor necessary to produce the means of livelihood of the worker (necessary labor). The "surplus" in this context means the additional labor a worker has to do in their job, beyond earning their keep. According to Marxian economics, surplus labor is usually uncompensated (unpaid) labor. In capitalism the working day always extended beyond this necessary labor time. This extended portion of the Working day was named surplus labor time and the labor extended during the time named surplus labor by Marx.

The Creation and Realization of Surplus Value

The process of capital transformation begins with a capitalist possessing money capital (M). This money is used to purchase raw materials, tools, and most importantly, labor power (C). These purchases transform the capital into a pool of value embodied in various commodities.

Production ensues, where raw materials and tools are used up to create finished goods (C'). The value of these finished goods originates from three sources:

1. Raw Materials and Tools: These commodities already have a predetermined value based on the labor previously invested in their production. Their value is essentially transferred (not added) to the final product during the production process.
2. Labor Power: Here lies the crux of surplus value creation. While the value of labor power itself reflects the cost of worker subsistence (e.g., four hours of labor), the actual work performed by the laborer adds a greater value to the final product (e.g., ten hours of labor).
3. Exploiting Labor Power: This difference between the value of labor power and the value it creates during work is where the capitalist extracts surplus value. The capitalist pays for four hours of work (labor power) but receives ten hours' worth of value from the actual labor performed.

Once production is complete, the capitalist holds finished goods (C') with a value exceeding the initial investment in raw materials, tools, and labor power (C). These finished goods are then sold (M'), generating a profit that exceeds the initial monetary investment (M).

Marx emphasizes that labor power is the sole source of surplus value. This surplus allows the capitalist to reinvest (expanded scale with more capital) and perpetuate the cycle of accumulation. Capitalism, according to Marx, becomes a continuous loop driven by the relentless pursuit of more capital through the exploitation of labor power.

Constant Capital, Variable Capital, and the Rate of Surplus Value

1. Constant Capital: Constant capital was defined as all tools, machines, buildings, and raw materials-all nonhuman means of production. It was called constant because these commodities transferred only their own value to the value of the

final product. Hence, the value embodied in these means of production remained constant when transmitted into a product.

2. Variable Capital: Variable capital was defined as the labor power that the capitalist purchased. Its value was increased when the potential labor purchased became actual labor embodied in a produced commodity.

The capital C is made up of two components,

i. The sum of money c laid out upon the means of production,
ii. The sum of money v expended upon labor-power.

At first,

$$C = c + v$$

When the process of production is finished, we get a commodity (C) whose value

$$(c + v) + s$$

Where s is the surplus value.

The Rate of Surplus Value,

$$\frac{s}{v} = \frac{surplus\ labor}{necessary\ labor}$$

The rate of surplus value tells us how many hours the laborer worked to create profits for the capitalist for each hour the laborer worked to create the value equivalent to his or her own subsistence. In our previous example, the working day was ten hours, four hours of which replaced the value of the labor power (or created the value equivalent of the worker's subsistence). The rate of surplus value was therefore 6/4, or 1.5. This means that the laborer worked one and one-half hours producing profits for the capitalist for each hour that the laborer worked for him or herself.

The difference between labor and labor power was clearly the source of surplus value. As Marx was later to show, profits, interest, and rents were merely the divisions of surplus value among the capitalist class. Only capital that employed productive workers made possible the creation of surplus value in the capitalist mode of production.

Length of the Working Day

The value a worker creates through their labor (labor) is distinct from the value of their ability to work (labor power). The key difference lies in the length of the workday, specifically how much surplus value capitalists can extract. Marx dedicates a significant portion of his work (72 pages in Chapter 10 of Volume 1 of Capital) to the historical struggle between capitalists and workers over this very issue.

According to Marx, capitalists are driven by an insatiable desire for surplus value. This pursuit often leads them to extend the workday to the absolute limit of a worker's physical endurance, neglecting even basic human needs for rest, recreation, and healthy living. Workers are seen as mere tools, and their well-being is disregarded in favor of maximizing daily labor output. This approach, Marx argues, resembles a farmer who depletes the soil's fertility to squeeze out more immediate gains at the expense of long-term sustainability.

Marx acknowledges that capitalists aren't always successful in achieving this level of exploitation. Through continuous struggle, workers have managed to establish some limitations on working hours. He emphasizes that these limitations are the result of centuries of conflict, with workers constantly needing to fight for their well-being against the relentless pursuit of profit by capitalists.

In essence, Marx argues that the length of the working day is a battleground in a capitalist system. While capitalists aim to maximize daily labor output, workers strive for a balance that protects their health and well-being. This historical struggle has shaped the concept of a "normal working day," a concept that Marx views as a continuous process of negotiation and resistance within the capitalist framework.

The Labor Theory of Value and the Transformation Problem

Marx's theory centers on the idea that a commodity's value stems from the labor invested in its production, not its physical properties. This "labor theory of value" forms the foundation of his economic analysis. Marx distinguishes between a commodity's use value and its value. Use value refers to the practical benefit or utility of an object (e.g., wheat nourishes). Value, however, is not inherent but arises from the historical and social context of production.

In any society, production requires collaboration among producers. This social aspect of production, regardless of the economic system (slave, capitalist, etc.), is a defining characteristic. Marx argues that under capitalism, this social interdependence becomes obscured. Producers don't directly see themselves as contributing to a larger social effort. They simply produce for the market, unaware of who consumes their goods or who makes the goods they consume.

The act of selling a commodity in the market transforms private labor into socially recognized labor. Only through successful market exchange does labor become "social" and contribute value. The price an object fetches in the market reflects the amount of private labor transformed into social labor through the sale. This price serves as the empirical manifestation of a commodity's value.

Marx further differentiates between useful labor (the concrete physical actions involved in production) and abstract labor. Abstract labor represents the generalized labor power of any worker, regardless of skill or specific task. It's this abstract labor, not the specific actions, that creates value in a capitalist system.

The capitalist, according to Marx, is primarily concerned with value creation through market exchange, not the specific use value of a product. As long as abstract labor generates value and surplus value (profit), the capitalist is indifferent to the type of good produced or the specific workers involved.

Marx's approach aligns with a school of thought that separates the readily observable aspects of a social phenomenon from its deeper, less visible core. Scientific explanation, in this view, involves identifying this essence and explaining how it shapes the phenomenon's outward appearance. Marx believed that the core aspect of human interactions, regardless of the specific context, is often the most general element. While this essence remains relatively constant across societies and historical periods, it manifests differently in each case.

For instance, procreation is essential for any society's survival, but the social practices surrounding it (dating rituals) vary greatly. Understanding these variations requires looking beyond the immediate causes (religious beliefs, social pressure) to the underlying need for procreation.

Similarly, Marx argued that all societies require a system for allocating labor. In capitalism, this is achieved through the market, where the sale of products signifies the social contribution of that labor. While specific factors like production costs and consumer demand influence market prices, these prices ultimately reflect the transformation of individual labor into socially recognized labor through the act of selling a commodity.

In essence, Marx posits that "abstract labor" (labor made social through market exchange) is the core element of value, whereas price is merely its outward manifestation within the specific context of capitalist commodity production. Understanding the factors influencing prices is crucial for Marx's theory. While diverse factors shape prices, they represent the tangible form that abstract labor (value) takes. The "transformation problem" lies in disentangling these factors to reveal the underlying relationship between value and its price manifestation.

With these distinctions in mind, Marx defines the value of a commodity as the sum of the labor embodied in the means of production used (past labor) and the labor expended during current production (living labor).

According to Marx, the value of labor power (the amount of labor a worker can perform in a given period) is determined by the socially necessary labor time required to reproduce that labor power. This means that workers are paid for only a portion of the value they create, while the remainder is taken as profit by capitalists. That is-

$$W = L_d + L_n + L_s$$

Where,

W= Value

L_d = Dead labor

L_n = Necessary labor

L_s = Surplus labor

Using p for the price of production, c for constant capital, v for variable capital, and r for the rate of profit, one obtains:

$$p = c + v + r(c + v)$$

where, $r = \{s/(c + v)\}$ and $r(c + v) = \{s/(c + v)\}\{c + v\} = s$.

The general correspondence between the various types of labor and cost components of price is obvious:

$$\begin{array}{cccc} W = & L_d + & L_n + & L_s \\ \downarrow & \downarrow & \downarrow & \downarrow \\ P = & C + & V & + r(c + v) \end{array}$$

Price corresponds to value; constant capital corresponds to dead labor; variable capital corresponds to necessary labor; and profit or surplus value corresponds to surplus labor. This is the logic by which money prices correspond to, and indeed are, the empirical manifestation of abstract labor.

The most important reason why this correspondence is not proportional, or one-to-one, however-and hence the origin of the transformation problem can be seen by dividing both the numerator and the denominator of the formula for the rate of profit by v:

$$r = \frac{s}{c + v} = \frac{\frac{s}{v}}{\left(\frac{c}{v}\right) + 1}$$

Marx called s/v the "rate of surplus value" and c/v the "organic composition of capital" (which is the quantity of means of production per laborer). Within capitalism, competition among workers and among employers tended to equalize both the length of the working day and the wage rate among all of the various sectors of the economy.

Because the rate of surplus value is derived from the length of the work day and the wage rate, it followed that it tended to be equal among different sectors. Competition and the mobility of capital also tended to equalize the rate of profit among all sectors of the economy.

Therefore, looking at the above equation, it is clear that in order for both r and s/v to be equal among all sectors, it is logically necessary for c/v, the organic composition of capital, to be equal among all sectors.

Marx acknowledged that the composition of capital (c/v, the ratio of constant capital to variable capital) varies significantly across different sectors of the economy. However, his theory of value posits that the rate of exploitation (s/v, the ratio of surplus value to variable capital) and the rate of profit (r) should be equal across all sectors. This apparent inconsistency is known as the "transformation problem."

Marx proposed a distinction between the sphere of production and the sphere of circulation. Surplus value is created in the sphere of production through the exploitation of labor. However, this surplus value only becomes realized as profit through the sale of commodities in the sphere of circulation.

Marx argued that the rate of surplus labor to necessary labor (s/v) tends to be equal across sectors, regardless of the organic composition of capital. This ratio reflects the core exploitation dynamic within production itself. However, when this ratio is expressed as surplus value to variable capital (s/v), it can become ambiguous. This ambiguity arises because s/v can refer to either the surplus value created in production or the surplus value realized through market exchange.

Sphere of Production: Marx argued that in the ideal scenario, the ratio of surplus value to variable capital would be equal across all industries, regardless of their capital composition (the ratio of constant capital, like machinery, to variable capital).

Sphere of Circulation: However, when competition drives capitalists to seek higher profits, they shift capital from low-profit industries to high-profit ones. This market activity disrupts the initial equality.

To equalize profit rates, competition forces change in product prices. These deviations from the original value-based prices cause a redistribution of surplus value. Industries with a higher organic composition (more machinery) tend to experience price increases, while those with a lower composition see price decreases.

Despite price fluctuations, Marx maintained that surplus value is still created in proportion to variable capital employed within each industry. The competitive process redistributes some of this created surplus value from low-composition industries to high-composition ones.

The passage presents Marx's view that competition, while equalizing profit rates, leads to price deviations and a reallocation of surplus value. Critics, however, have pointed out inconsistencies in this argument, particularly regarding the treatment of input prices. Marx initially focused on transforming output prices but left input prices based on value. This creates a situation where a commodity has different prices depending on whether it's an output or input.

Economists have attempted to develop mathematical models that transform both input and output prices. However, these solutions often fail to fulfill all three of Marx's initial conditions: equal sectoral profit rates, equal total surplus value, and a constant average price level.

The transformation problem ultimately revolves around the concept of abstract labor in a capitalist system. Marx believed that labor, regardless of its specific form, creates value. However, market forces distort this value into the prices we see in the real world.

Private Property, Capital, and Capitalism

Marx challenged the prevailing notion that surplus value arose through exchange. He argued that it emerged within the production process itself. Crucially, Marx emphasized that surplus value could only be realized through exchange within a specific socio-economic system.

This system, according to Marx, necessitated the existence of "free laborers" devoid of significant means of production. They were compelled to sell their labor power to the capitalist class, who possessed the necessary capital. Thus, Marx underscored that capital was not merely a collection of material goods ("things"), as posited by orthodox economists. He acknowledged that capital partially comprised previously produced means of production, a characteristic present across different societies.

However, Marx distinguished between this universal aspect and the specific features of capital unique to capitalism. He contended that these specific features arose from particular property relations within capitalist societies. Understanding these property relations was paramount for comprehending the essence of capitalism.

The passage further explores the evolving nature of capital as a social power. Marx argued that capital transcended the limitations of individual labor, becoming an "alienated, independent, social power." This power, wielded by the capitalist class, stood in opposition to society as a whole. The legal foundation for this power structure, Marx asserted, was the capitalist mode of production's specific form of private property.

Initially, property rights appeared to be grounded in individual labor. However, this logic dissolved under capitalism. Property, in Marx's view, became the right of the capitalist to claim the surplus labor of others (unpaid labor) and its products. Conversely, the laborer was denied the ability to claim their own product. Marx saw this separation of property from labor as an unintended consequence of a system supposedly rooted in their equivalence.

Primitive Accumulation

Once capital and a free labor force are established, Marx argues, a continuous upward spiral ensues. Surplus value generated by labor fuels further capital accumulation, which in turn enables the extraction of even greater surplus value. However, Marx emphasizes the necessity of looking beyond this seemingly organic process to uncover its historical roots.

The origins of capital, he contends, lie not in the moral virtues of frugality or abstinence (as espoused by Malthus, Say, Senior, Bastiat, and even Mill). Capitalism, by its very nature, presupposes a stark class division – a propertyless working class and a wealthy capitalist class. Marx terms the historical process that gave rise to these classes "primitive accumulation."

Primitive accumulation, though a unified socio-economic phenomenon, can be examined from two distinct perspectives. One viewpoint focuses on the creation of a destitute, powerless working class. The other emphasizes the emergence of a wealthy capitalist class wielding monopolistic control over the means of production. Regardless of the perspective, Marx asserts, the history of primitive accumulation is a violent and brutal one, "written in the annals of mankind in letters of blood and fire."

He dedicates significant textual space in Capital volume 3 to meticulously documenting the historical events that birthed these two fundamental capitalist classes. Pre-capitalist societies were predominantly agrarian, necessitating a dismantling of feudal social structures that secured land access for most laborers. This violent transformation from feudal to modern private property relations resulted in the forceful expulsion of peasants from their ancestral lands. These newly “free” laborers, however, found themselves without employment opportunities. Unaccustomed to the rigid discipline demanded by nascent industrial jobs, they were turned into beggars, robbers and vagabonds.

Marx goes on to describe the harsh legal measures enacted to control this burgeoning population of displaced people during the transition from feudalism to capitalism. These measures, characterized by “cruel and barbarous” punishments, aimed to forcibly mold these individuals into a workforce compliant with the “discipline necessary for the wage system.”

Beyond land becoming a form of capital, the accumulation of vast wealth that could be transformed into industrial capital was another crucial element. In summarizing the entire process of primitive accumulation, Marx delivers a powerful image: "capital comes dripping from head to foot, from every pore, with blood and dirt." This stark depiction underscores his core argument – that the initial wealth accumulation within capitalism was far from a clean or ethical process.

Capitalist Accumulation

With capitalists firmly in control, the system prioritizes “law and order,” ensuring the protection of private property and the smooth operation of capitalist production and trade. This order benefits the capitalists, who thrive on the separation of workers from the means of production (land, factories, etc.). As Marx puts it, “capitalist production...maintains this separation, but reproduces it on a continually extending scale.”

Driven by social, legal, and economic forces, capitalism operates according to its own “laws of motion.” The core principle here is the relentless pursuit of capital accumulation. A capitalist's social standing, wealth, and power are directly tied to the amount of capital they control.

Capitalism is a fiercely competitive game. To stay afloat, capitalists are pressured to constantly accumulate more capital and improve their methods of production. Failure to do so risks being overtaken by competitors. Marx emphasizes that this drive to accumulate wealth isn't solely a personal greed issue. It's an inherent feature of the capitalist system, a system where capitalists are just “cogs in the machine.”

Furthermore, capitalist production itself demands ever-increasing capital investment. Combined with cutthroat competition, this creates a situation where individual capitalists feel compelled to constantly expand their operations to survive. The only way to achieve this “progressive accumulation” is, of course, by accumulating even more capital. Marx claims that capitalism's “laws of motion” are fueled by the relentless drive to accumulate and the fierce competition among capitalists.

Economic Concentration

According to Marx, as capitalism matures, wealth and power become increasingly concentrated in the hands of a smaller number of capitalists. This trend arises from two key forces.

Firstly, competition between capitalists is fierce. Marx argues that "stronger" firms tend to crush or absorb "weaker" ones. He explains, "Competition gets more intense as the number of capitalists increases, while the size of their businesses shrinks. This competition always ends with many small capitalists going bankrupt. Their capital partly gets taken over by the winners, and partly just disappears."

Secondly, technological advancements play a role. As technology improves, a minimum amount of capital is needed to simply operate a business effectively. Marx highlights that to stay competitive, a company must continuously improve the efficiency of its workers. He argues, "The efficiency of workers depends on the scale of production." In simpler terms, larger businesses can afford better technology, which leads to more productive workers.

Therefore, both technological change and competition among capitalists push the system towards bigger firms controlled by fewer individuals. This inevitably widens the gap between the wealthy capitalist class and the vast majority of society, which Marx refers to as the proletariat (working class).

Tendency for the Rate of Profit to Fall

The ratio of constant capital to variable capital (c/v) is called the organic composition of capital. Marx believed that as capitalism progresses, this ratio tends to increase. In simpler terms, the value of machinery and materials would grow faster than the wages paid to workers.

This trend, according to Marx, would lead to a falling rate of profit. There are two main reasons for this:

1. Surplus Value and Capital: Profits come from surplus value, which is the extra value created by workers beyond what they are paid. However, only variable capital (wages) directly generates surplus value. So, if the proportion of constant capital increases (meaning less money is spent on wages), the same amount of surplus value has to be spread over a larger amount of total capital, resulting in a lower profit rate.

2. Limits of Exploitation: There's a limit to how much capitalists can squeeze more work (surplus value) out of their workers. Once these limits are reached, the rising organic composition of capital will inevitably lead to a decline in the profit rate.

Counteracting Forces: Marx acknowledged that there were factors that could counteract this tendency for profits to fall:

- Increased Exploitation: Capitalists might try to get more work out of their employees by extending work hours or intensifying labor practices.
- Lower Wages: Keeping wages low relative to the cost of living could also temporarily boost profits.
- Technological Advancements: Technological breakthroughs that reduce the cost of machinery and materials (constant capital) could offset the rising organic composition.
- Foreign Trade: Profits from trade with less developed countries could potentially increase overall profit rates.

It's important to understand that Marx didn't predict an absolute decline in total profits. He argued that even with a falling rate of profit, total profits might still rise due to the increasing amount of capital invested. However, he believed that the tendency for profit rates to fall would create inherent instabilities within capitalism.

One criticism of Marx's theory is that it doesn't fully consider the possibility of technological advancements that might increase worker productivity while also keeping wages relatively stable or even rising. This could potentially lead to a situation where both the rate of profit and worker well-being improve.

The concept of the falling rate of profit is a key element of Marx's critique of capitalism. He viewed it as a potential source of instability within the system. While the theory has been debated by economists, it remains a valuable tool for understanding the dynamics of capital accumulation and its potential long-term consequences.

Sectoral Imbalances and Economic Crises

Similar to classical economists before him, Marx believed wages tended towards a subsistence level, determined by cultural norms rather than just biological needs (as John Stuart Mill argued). However, his explanation for this phenomenon differed significantly.

Marx rejected Malthus's population principle, arguing that population trends were specific to each historical mode of production. In capitalism, he proposed a concept called the "industrial reserve army." This refers to a pool of unemployed workers readily available for exploitation. Their existence, fueled by continuous capital accumulation, puts downward pressure on wages. Even when the economy booms and labor demand rises, wages only increase temporarily.

Why? Capitalists, according to Marx, respond to high wages by introducing labor-saving machinery. This allows them to maintain or even increase production with a smaller workforce. The displaced workers then replenish the "reserve army," driving wages back down.

This cycle of technological unemployment creates a seemingly paradoxical situation. Production capacity expands but worker wages remain stagnant. Workers continue to produce surplus value embodied in goods, but capitalists struggle to sell these goods due to limited consumer demand.

Here, Marx introduces the concept of two sectors: consumer goods and capital goods. Smooth economic growth requires a balanced exchange between them. However, restricted wages disrupt this balance. Workers, lacking sufficient income, can't buy all the consumer goods produced. This leads to a glut (oversupply) in the consumer goods sector.

Facing this situation, capitalists in the consumer goods sector have little incentive to invest further. This, in turn, reduces demand for capital goods, causing a downturn in that sector as well. Unlike earlier underconsumption theories, Marx blames this imbalance – not simply a lack of overall consumption – for triggering a depression.

The imbalance stems from the unequal distribution of income between wages and profits. This creates a situation where production capacity outpaces effective demand, leading to a general economic collapse. The depression then serves to replenish the "reserve army" of unemployed workers, perpetuating the cycle. Marx saw this cyclical pattern, with periods of boom, crisis, and stagnation, as a defining characteristic of modern capitalism.

According to Marx capitalism creates a self-reinforcing mechanism that traps workers in a cycle of low wages and unemployment. This "iron cage" of wages, as some have called it, is a core element of Marx's critique of the capitalist system.

Alienation and the Increasing Misery of the Proletariat

Marx argued that the historical process of "primitive accumulation" created a class of workers who had nothing to sell but their labor. These workers were essentially controlled by the capital they themselves produced. As capitalism grew, this control expanded, affecting more and more workers.

According to Marx, this entire process had a devastating impact on workers. They were systematically prevented from reaching their full potential as human beings. Unlike animals, humans develop and refine their senses and intellect through work, finding both satisfaction and self-realization in their creations. Marx believed that pre-capitalist societies, despite their exploitative structures, allowed for some degree of this self-realization through work.

In contrast, capitalism, according to Marx, severed this connection. Workers became commodities to be bought and sold based on market forces, with no control over the product of their labor or even the possibility of finding work. This situation, Marx called "alienation." Workers felt disconnected from their work, their environment, and their fellow workers. Decisions about work conditions, products, and even the opportunity to work itself were made by a small capitalist class based on profit, not human needs or aspirations.

Marx himself described alienation as a state where workers:

- Do not identify with their work: They see it as something external and forced upon them, rather than a source of fulfillment.
- Feel disconnected from the product: They have no ownership or stake in what they create.
- Have limited control over work conditions: Their work environment and the way they perform their tasks are dictated by others.

Marx believed that this alienation ultimately dehumanized the working class, hindering their personal development and reducing their lives to a mere means of generating profit for capitalists.

Marx further argued that as capital accumulated, worker alienation worsened. He called this the "law of increasing misery." Even if wages increased, he believed, the overall situation for workers would deteriorate. Their creativity, emotional well-being, and intellectual potential would continue to be stifled by the capitalist system.

Marx did not predict a decline in real wages (the amount of goods and services wages could buy). He believed wages might actually rise as capital accumulated. However, he argued that this would not improve workers' overall well-being. Alienation and a sense of powerlessness would persist, leading to what he called "psychic regression."

Marx believed that this "psychic regression" would ultimately lead to worker rebellion. He envisioned a future where the working class would overthrow the capitalist system and establish a new social order based on cooperation, planning, and human development.

While subsequent historical events haven't necessarily confirmed all of Marx's predictions, his analysis of capitalism continues to be relevant. His framework for understanding the structure and functioning of capitalism, with its emphasis on alienation and the exploitation of labor, remains a valuable tool for critical social and economic analysis.

Marx on Socialism and Communism

Karl Marx, alongside Friedrich Engels, developed a critical theory of capitalism and envisioned a future socialist society. Marx's key ideas of socialism and communism are given below:

Capitalism's Internal Contradictions:

Marx believed capitalism inherently contained the seeds of its own destruction. He argued that the class struggle between the bourgeoisie (capitalists) and the proletariat (workers) would inevitably lead to a socialist revolution. Exploitation was central to his critique. He argued that capitalists exploited workers by paying them less than the full value of their labor. Economic crises were another inherent flaw. Marx believed capitalism was prone to boom-and-bust cycles, leading to unemployment and misery.

Socialism

Socialism, for Marx, was the next historical stage beyond capitalism. Social ownership of the means of production (factories, resources) would replace private ownership. This would eliminate exploitation and create a more equitable society. Worker participation in decision-making was another key aspect of his vision. Workers would have a say in how production is managed and profits are distributed.

The transition from capitalism to socialism, according to Marx, would likely involve a violent revolution led by the proletariat. The dictatorship of the proletariat is a temporary state controlled by the working class. Its purpose would be to suppress the former ruling class and consolidate socialist reforms.

Communism

Socialism was a transitional phase necessary to build the economic and social foundation for communism. The core of Marx's communist ideal lies in a society without a state or social classes. This contrasts with capitalism's class divisions and the need for a state to maintain them. Communism wouldn't rely on money or wage systems. Instead, individuals would contribute what they can according to their abilities and receive what they need to live a fulfilling life. Unlike capitalism, which prioritizes profit and competition, communism emphasizes human development and self-actualization. Free from the pressures of wage labor, people would pursue their passions and contribute to society based on intrinsic motivation. Marx wasn't interested in providing a detailed blueprint for a communist society. He believed the specifics would be determined by the historical conditions of the revolution and the people involved.